

25STCV19576 25STCV19576

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Case Number: 25STCV19576 Hearing Date: August 25, 2026 Dept: 617

Dept.

617

Date:

8-25-26

Case

#: 25STCV19576

Trial

Date: None Set

DEMURRER

MOVING

PARTY: Defendant, Ford Motor Company

RESPONDING

PARTY: Unopposed/Plaintiffs, Luis Escobar and Delia Escobar

RELIEF

REQUESTED

Demurrer

to Sixth Cause of Action in Complaint

SUMMARY

OF ACTION

This

is a lemon law action. Plaintiffs Luis Escobar and Delia Escobar sued Defendant Ford Motor Company alleging Ford failed to promptly replace their 2019 Ford F-250 or make restitution after it was unable to conform the car to its express warranty after a reasonable number of repair attempts. Plaintiffs also allege Ford fraudulently induced the sale of the car by concealing the existence of an engine defect. Plaintiffs additionally bring a negligent repair claim against Defendant Sunland Ford Inc.

RULING: Overruled.

Ford

demurs to the sixth cause of action in Plaintiffs' complaint for fraudulent inducement. It argues that Plaintiffs' claim is barred by the statute of limitations and economic loss rule. Ford further contends that the fraud claim is insufficiently pled. Plaintiffs do not oppose the demurrer. Ford's demurrer is overruled.

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demurrer is an objection to a pleading, the grounds for which are apparent from either the face of the complaint or a matter of which the court may take judicial notice. (Code Civ. Proc., § 430.30, subd. (a); see also *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) The purpose of a demurrer is to challenge the sufficiency of a pleading "by raising questions of law." (*Postley v. Harvey* (1984) 153 Cal.App.3d 280, 286.) "In the construction of a pleading, for the purpose of determining its effect, its allegations must be liberally construed, with a view to substantial justice between the parties." (Code Civ. Proc., § 452.) The court "treat[s] the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law" (*Berkley v. Dowds* (2007) 152 Cal.App.4th 518, 525.) In applying these standards, the court liberally construes the complaint to determine whether a cause of action has been stated. (*Picton v. Anderson Union High School Dist.* (1996) 50 Cal.App.4th 726, 733.) "If the complaint states a cause of action under any theory, regardless of the title under which the factual basis for relief is stated, that aspect of the complaint is good against a demurrer." (*Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 38.)

Plaintiffs' claim is not barred by the statute of limitations. "A demurrer based on a statute of limitations will not lie where the action may be, but is not necessarily, barred. [Citation.] In order for the bar ... to be raised by demurrer, the defect must clearly and affirmatively appear on the face of the complaint; it is not enough that the complaint shows that the action may be barred." (Com. for Green Foothills v. Santa Clara County Bd. of Supervisors (2010) 48 Cal.4th 32, 42.) The statute of limitations for fraud is three years. (Code Civ. Proc., § 338, subd. (d).) The cause of action does not accrue "until the discovery, by the aggrieved party, of the facts constituting the fraud or mistake." (Ibid.) Here, the face of the complaint does not affirmatively show that the fraud claim is barred because no facts indicate when Plaintiffs discovered, or reasonably should have discovered, Ford's alleged fraud. The mere fact that "[d]efects and nonconformities to warranty manifested themselves within the applicable express warranty period" does not mean that Plaintiffs discovered or were put on notice of the alleged fraudulent omission at that time. [Compl. ¶ 12.] The fraud claim is thus not barred by the statute of limitations.

Plaintiffs' fraud claim is also not barred by the economic loss rule. The law recognizes a separation between tort and contract law. Plaintiffs generally cannot recover tort remedies in a contract cause of action. (Rattagan v. Uber Technologies, Inc. (2024) 17 Cal.5th 1, 19-20.) The economic loss rule and the independent tort principle are related, but different, concepts that maintain this distinction. The economic loss rule is a specific application of the independent tort principle. (Id. at p. 26.) The independent tort principle permits tort recovery for breach of contract "if the defendant allegedly violated a duty rooted in tort principles that is independent of the parties' contractual rights and obligations and exposed the plaintiff to a risk of harm beyond the parties' reasonable contemplation when they entered into the contract." (Id. at p. 23.) The economic loss rule is more narrow, only barring tort recovery "for negligently inflicted economic losses unaccompanied by physical or property damage" (Id. at p. 38.) Therefore, when, as here, an intentional tort claim like fraud is alleged, the economic loss rule does not apply and only the independent tort principle is at issue. (Ibid.)

The independent tort principle does not bar Plaintiffs' fraudulent inducement by concealment claim. Because fraudulent inducement claims concern wrongful

precontractual conduct, the “traditional separation of tort and contract law” does not apply. (Rattagan, *supra*, 17 Cal.5th at p. 41.) Indeed, this area of the law “traditionally has involved both contract and tort principles and procedures. For example, it has long been the rule that where a contract is secured by fraudulent representations, the injured party may elect to affirm the contract and sue for the fraud.” (Ibid.; *Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645; *Campbell v. Birch* (1942) 19 Cal.2d 778, 791.) It logically follows that doctrines, such as the independent tort principle, that serve to preserve the distinction between contract and tort law do not apply to fraudulent inducement claims like the one here. (See also *Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 841-43 [economic loss rule does not bar fraudulent inducement claim].) Thus, neither the economic loss rule nor the independent tort principle bar Plaintiffs’ fraudulent inducement by concealment claim.

Ford

further argues that Plaintiffs fail to plead their fraud claim with requisite particularity because they do not allege any specific misrepresentation or omission made to Plaintiffs, Ford’s duty to disclose the purported engine defect, and Plaintiffs’ justifiable reliance on the omission.

“The

required elements for fraudulent concealment are (1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact; (3) the defendant intended to defraud the plaintiff by intentionally concealing or suppressing the fact; (4) the plaintiff was unaware of the fact and would have acted differently if the concealed or suppressed fact was known; and (5) plaintiff sustained damage as a result of the concealment or suppression of the material fact.” (Rattagan, *supra*, 17 Cal.5th at p. 40.) As with all other fraud claims, fraudulent concealment must be pled with specificity “even though the focus of inquiry shifts to the unique elements of the claim.” (Id. at p. 43.) Mere conclusory allegations are insufficient. (Id. at p. 44.)

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duty to disclose may arise if “the material facts are known or accessible only to defendant, and defendant knows those facts are not known or reasonably discoverable by plaintiff (i.e., exclusive knowledge).” (Rattagan, *supra*, 17 Cal.5th at p. 40.) This circumstance presupposes “a preexisting relationship between the parties, such as ‘between seller and buyer, employer and

prospective employee, doctor and patient, or parties entering into any kind of contractual agreement. All of these relationships are created by transactions between parties from which a duty to disclose facts material to the transaction arises under certain circumstances.” (Id. at pp. 40-41, quoting *LiMandri v. Judkins* (1997) 52 Cal.App.4th 326, 337.) “If the duty allegedly arose by virtue of the parties’ relationship and defendant’s exclusive knowledge or access to certain facts . . . the complaint must also include specific allegations establishing all the required elements, including (1) the content of the omitted facts, (2) defendant’s awareness of the materiality of those facts, (3) the inaccessibility of the facts to plaintiff, (4) the general point at which the omitted facts should or could have been revealed, and (5) justifiable and actual reliance, either through action or forbearance, based on the defendant’s omission.” (Id. at pp. 43-44.)

Ford’s

particularity arguments are unavailing. Plaintiffs allege Ford failed to disclose the existence of an engine defect and identify the defect, stating “the 6.7L engine and/or its related components installed in the Subject Vehicle suffer from one or more defects that can result in loss of power, stalling, engine running rough, engine misfires, failure or replacement of the engine.” [Compl. ¶ 53.] That Plaintiffs do not allege who made representations on Ford’s behalf is immaterial as Plaintiffs’ claim is not based on anything Ford said, but what it did not say at the time of sale. (*Vega v. Jones, Day, Reavis & Pogue* (2004) 121 Cal.App.4th 282, 296 [“The pertinent question in a concealment case is not who said what to whom”].) And the fact that the warranty indicated that the car might have a defect does not constitute disclosure or preclude justifiable reliance on the alleged omission. Plaintiffs allege that Ford was aware that the car actually had a defective engine at the time of sale. The warranty did not disclose this fact and had Plaintiffs “known that the Subject Vehicle was equipped with a defective engine, Plaintiffs would not have purchased the Subject Vehicle equipped with the 6.7L engine.” [Compl. ¶ 66.] Thus, Plaintiffs sufficiently plead the alleged omission and their reliance.

Plaintiffs

also adequately plead that Ford owed them a duty to disclose the purported engine defect. They allege that on or about August 21, 2019, they entered into a “warranty contract” with Ford regarding their car. [Compl. ¶ 7.] Such a contractual relationship may support a duty to disclose on behalf of Ford. (*Rattagan*, supra, 17 Cal.5th at pp. 40-41.) Plaintiffs further allege that Ford had

exclusive knowledge of the defect through “non-public, internal data” including: “pre-releasing testing data; early consumer complaints about the Engine Defect to Defendant FORD’s dealers who are FORD’s agents for vehicle repairs; dealership repair orders; testing conducted in response to those complaints; and other internal sources of information possessed exclusively by Defendant FORD and its agents.” [Compl. ¶ 57.] Plaintiffs have thus alleged the requisite preexisting relationship and duty to disclose.

Ford’s demurrer is therefore overruled. Ford to answer the operative complaint within 10 days.

Ford to give notice.